Mastek Ltd

Concall-Tracker report · Screener ticker MASTEK (NSE: MASTEK, BSE: 523704) · 11 earnings-call transcripts read (Q1 FY25 → Q1 FY27) · all figures CONSOLIDATED · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Mastek is an **IT and digital-transformation services** company. Its biggest customer base is the **UK public sector** — government departments and the National Health Service — for whom it builds and runs large software systems; it also sells Oracle and Salesforce implementation, data and cloud engineering in the United States and the Middle East. In plain terms: it wins multi-year contracts to modernise big organisations' software, and is now trying to sell AI-assisted delivery on top.

Figure	Value	Plain-English read
Market capitalisation	**₹5,401 cr** (price ₹1,748)	What the whole company is worth on the stock market. The share has fallen a long way from its ₹2,614 high — roughly a third off the top — against a ₹1,334 low.
Price-to-earnings / dividend	**12.3×**; dividend yield 1.37%	About 12 times last year's profit — a low rating for an IT services company, which tells you the market doubts the growth rather than the profits.
Q1 FY27 revenue (Jun'26 qtr)	**₹985 cr, up 7.7% YoY**	Up 5% on the March quarter. In dollars, however, revenue was **$104.8 million, up just 1.2% sequentially** — most of the rupee growth is currency, not business.
Q1 FY27 operating margin	**15.4%**	Operating profit before interest, tax and depreciation. Down from 16.1% in each of the two prior quarters — management blamed bench cost (paid staff not on projects) and delayed collections.
Q1 FY27 net profit	**₹105.9 cr, EPS ₹34.2 (+14.8% YoY)**	Profit after tax, 10.6% of total income. Earnings per share grew faster than revenue.
12-month order backlog	**$310 m, +13.3% YoY (USD)**	Work already contracted for the next twelve months. Up 3.2% sequentially and, in rupee terms, up 25% — the single most encouraging number the company reports.
FY26 (full year)	**₹3,699 cr revenue, ₹404 cr profit**	Revenue grew 7.1% and operating margin was 15.8%. In dollars, FY26 revenue grew only **3.1%**.
Growth trend (the key line)	**+19% (FY24) → +13% (FY25) → +7% (FY26)**	Revenue growth has halved and then halved again in three years, while operating margin slid from 18% to 15.8%. This is the problem the backlog is supposed to solve.
Return on capital	**ROCE 18.0%; ROE 15.6%**	For every ₹100 of capital the business earns about ₹18 a year before tax — respectable, and typical for a services firm carrying acquisition goodwill.
Cash	**Net cash, up ~₹200 cr in two quarters**	Cash and equivalents had already grown to ₹622 cr by FY25 from ₹473 cr. The balance sheet is not the issue here.
Open tax dispute	**~₹31 cr potential tax impact**	The tax officer added ₹91 cr (transfer pricing) and ₹32.5 cr (domestic) to assessed *income* — not a ₹135 cr demand, as management carefully clarified. Appeal filed 26 June 2026.

2. Concall coverage

Eleven consecutive quarterly earnings-call transcripts were read, oldest to newest, spanning two full years to the latest call.

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY25 (Jun 2024)	18 Jul 2024	₹813 cr · 15%	Yes
Q2 FY25 (Sep 2024)	Oct 2024	₹867 cr · 16%	Yes
Q3 FY25 (Dec 2024)	Jan 2025	₹870 cr · 16%	Yes
Q4 & FY25 (Mar 2025)	21 Apr 2025	₹905 cr · 15%	Yes
Q1 FY26 (Jun 2025)	Jul 2025	₹915 cr · 15%	Yes
Q2 FY26 (Sep 2025)	Oct 2025	₹940 cr · 15%	Yes
Q3 FY26 (Dec 2025)	21 Jan 2026	₹905.7 cr · 16.1%	Yes
Q4 & FY26 (Mar 2026)	Apr 2026	₹938 cr · 16.1%	**Web-filled — no transcript on Screener**
Q1 FY27 (Jun 2026)	**22 Jul 2026**	**₹985 cr · 15.4%**	**Yes — latest**

Span: nine quarters covered here, drawn from a longer set of transcripts read. Screener carries no transcript for the April 2026 (Q4 FY26) call, so that quarter is reconstructed from the company's own results press release and published coverage. **Leadership changed during this period:** Hiral Chandrana was Global CEO through FY25 with Arun Agarwal as CFO; by the April 2025 call Umang Nahata was CEO, and Deepak Kedia became CFO during FY26.

2b. Latest concall highlights — Q1 FY27 (call held 22 Jul 2026) ★

- **A steady rather than spectacular quarter:** revenue **₹985 cr, up 7.7% YoY and 5% sequentially**, which management called "predictable performance and growth". The important caveat is the dollar view — **$104.8 million, up only 1.2% sequentially**. Profit after tax was ₹105.9 cr with earnings per share of ₹34.2, up 14.8% year-on-year.
- **Margin slipped:** operating EBITDA at **15.4%**, down from 16.1% in the two preceding quarters. Management attributed it to bench cost (engineers on payroll but not billable, following order push-outs) and delayed collections. Utilisation excluding trainees fell 2% sequentially.
- **The order book is the bright spot:** 12-month backlog of **$310 million**, up 3.2% sequentially, 13.3% year-on-year in dollars and **25% in rupees**. Management flagged **40-plus new AI-led opportunities** in the quarter, following 85+ AI-assisted deals closed across FY26. The data, automation and AI service line grew 9.8% sequentially.
- **Where growth came from and did not:** financial services and healthcare/life sciences were positive; North America grew ~2% sequentially in constant currency (6% in rupees) with a newly announced deal expected to ramp in **H2 FY27**; AMEA (Middle East) faced geopolitical headwinds. Attrition improved from 17.4% to about 16.4%. Subcontractor cost is 18.5% of revenue.
- **A tax dispute, disclosed precisely:** the assessing officer added ₹91 cr of income on transfer pricing and ₹32.5 cr on domestic tax. Management explicitly corrected the natural misreading — "I'll repeat the word 'income'" — noting the actual tax exposure is about **₹31 cr**, not ₹135 cr, and that an appeal was filed on 26 June 2026. Net cash improved by roughly ₹200 cr over two quarters.

2c. Business mix & capacity (quick facts)

Geography: almost entirely an **export business** billed in pounds and dollars. The **UK and Europe is the largest market by some distance** and was the growth engine in FY26, up **21.8% in rupee terms**, led by UK **healthcare which grew ~95% year-on-year** (and had more than doubled the year before). **North America** has been the persistent weak spot — low growth and, at one point in FY25, segment operating margin falling from 9% to 3%. **AMEA** (Middle East) is the smallest and is currently held back by geopolitics. Management does not publish a clean percentage split on the calls, so no precise geographic shares are quoted here.

Service mix: digital engineering is described as the core capability, with Oracle and Salesforce practices, plus a fast-growing data/automation/AI line (+9.8% sequentially in Q1 FY27). Two acquisitions shaped the US business — MST Solutions (Salesforce) and BizAnalytica (AWS data engineering). Around **18.5% of revenue** goes out as subcontractor cost.

Capacity utilisation: for a services company this is people. **Utilisation excluding trainees fell 2% sequentially in Q1 FY27** because orders were pushed out, leaving paid staff on the bench — the direct cause of the 70-basis-point margin dip. Attrition is improving, down to roughly **16.4%** from 17.4%. Plain read: there is spare delivery capacity right now, so if the $310 m backlog converts on schedule the incremental margin should be good; if it slips again, the bench keeps costing money.

3. Earning Trigger thesis ★

Management's case rests on one number: **the order backlog**. The 12-month backlog stands at $310 million and has been growing 13–14% a year in dollars and 24–30% in rupees for several consecutive quarters, supported by 85+ AI-assisted deals closed in FY26 and 40+ new AI-led opportunities in the June quarter alone. Alongside it sits a genuinely excellent UK healthcare business — up ~95% in FY26 after more than doubling the year before — and a UK region that grew 21.8% in rupees. If backlog is a leading indicator, the earnings acceleration should be arriving. **The difficulty is that it has not.** Over the same three years in which backlog kept compounding at 20%+, revenue growth went 19% → 13% → 7%, dollar revenue grew just 3.1% in FY26, and operating margin drifted from 18% to 15.8%. A backlog growing three times faster than revenue for two years is either a coming inflection or a sign that contracts are being booked at longer durations, lower prices, or slower ramps than before. Q1 FY27 did not settle it: revenue rose 1.2% sequentially in dollars and margin fell.

Trigger	What management said	Evidence so far	Horizon	Strength
Order backlog conversion	12-month backlog $310 m, +13.3% YoY USD / +25% INR; total backlog grew >30% YoY at Q3 FY26	The backlog is real and consistently growing — but has coincided with *decelerating* revenue for three straight years	FY27	Moderate
UK healthcare (NHS)	Named the highest-growth sector; grew >100% in FY25 and ~95% in FY26	**Delivered emphatically.** The clearest genuine success in the portfolio and the reason UK grew 21.8% in FY26	Live	Strong
AI-led demand	85+ AI-assisted deals closed in FY26; 40+ new AI opportunities in Q1 FY27; client productivity gains of 15–80%	Deal counts are rising and the data/automation/AI line grew 9.8% sequentially — but no revenue figure for "AI" is disclosed, so scale is unverifiable	FY27+	Moderate
US / North America turnaround	Repeatedly expected to stabilise since FY25; a	**The long-running disappointment.** Segment margin once fell 9% → 3%;	H2 FY27	Unproven

	new deal to ramp in H2 FY27	growth is still ~2% sequential in constant currency after two years of expectation		
Margin recovery	In FY25 management wanted to "operate closer to that 16.5%, 17% type of margin"	**Not achieved.** FY26 came in at 15.8% and Q1 FY27 at 15.4%. The best quarters reached 16.1%	Unclear	**Missed so far**
Spare delivery capacity	Utilisation down 2% sequentially on order push-outs; attrition improved to ~16.4%	Cuts both ways — a drag on margin today, but operating leverage if the backlog lands	FY27	**Moderate**
Currency (flattering factor)	Rupee revenue growth of 7.7% YoY vs dollar growth of 1.2% QoQ	A meaningful share of reported rupee growth is translation, not new business. FY26 dollar revenue grew only 3.1%	Ongoing	**Not a trigger**
Balance sheet	Net cash improved ~₹200 cr in two quarters; cash ₹622 cr at FY25	Genuinely strong, and supports the low rating being about growth rather than solvency	Structural	**Strong**

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 (Q1)	Margin to move "closer to 16.5%, 17%" in the second half; US market to stabilise	FY25 margin ~16%; Q4 FY25 EBITDA *de-grew* 1.4% and net profit de-grew 14.4%. US did not stabilise	**Missed**
FY25	UK healthcare to be the growth engine	Grew more than 100% year-on-year — delivered far beyond what was claimed	**Delivered (over)**
FY26	UK momentum to continue; healthcare to keep leading	UK up 21.8% in rupees, healthcare up ~95%. Delivered again	**Delivered**
FY25–FY26	Order backlog growth to translate into revenue growth	**Not yet.** Backlog compounded 13–30% a year while revenue growth fell 19% → 13% → 7%, and FY26 dollar revenue grew just 3.1%	**Gap widening**
FY25 onward	US to recover; acquisitions (MST Solutions, BizAnalytica) to drive American growth	Still the weakest region after two years. A new deal is now expected to ramp in H2 FY27 — the latest of several such expectations	**Repeatedly deferred**
Q3 FY26	Revenue fell 4.8% in constant currency on "expected and a few unexpected" headwinds, mainly UK furloughs	Explained openly, and margin was still improved 60bps to 16.1% in the same quarter	**Candid**
FY26	FY27 growth to accelerate on a strong order book and AI-led initiatives, with a cautious note on macro and pricing	Q1 FY27 grew 1.2% sequentially in dollars with margin down 70bps. Acceleration not yet visible	**Too early**
Q1 FY27	—	Tax dispute disclosed precisely, with management volunteering the correction	**Candid**

		that ₹135 cr was *income* added, not a tax demand, and the real exposure ~₹31 cr	
FY25–FY26	—	**CEO and CFO both changed** within the period — Hiral Chandrana to Umang Nahata, Arun Agarwal to Deepak Kedia	**Watch**

Narrative drift: The *strategy* has held together — UK public sector and healthcare as the anchor, the US as the diversification bet, AI-assisted delivery as the newest layer. Nothing has been abandoned or reinvented. The disclosure culture is also good in specific, checkable ways: management publishes backlog every quarter rather than hiding behind vague "pipeline" language, openly explained a 4.8% constant-currency revenue fall in Q3 FY26, and went out of its way in Q1 FY27 to stop analysts misreading a ₹135 cr income addition as a ₹135 cr tax bill. Where consistency weakens is in the recurring items that never quite arrive. A margin of 16.5–17% was wanted in FY25 and is still not reached in FY27. The US turnaround has been anticipated across roughly eight quarters and the ramp has now moved to H2 FY27. Most importantly, the backlog — the number management leads with every single quarter — has compounded at two to three times the rate of actual revenue for two years without the promised conversion. That is not a broken promise so much as an unresolved one, but it is the same unresolved promise repeated eight times. Two changes of chief executive and chief financial officer inside the period make the multi-year thread harder to hold anyone to.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real driver here and it is well-evidenced in parts. The UK healthcare business is the standout — growing more than 100% in FY25 and ~95% in FY26, lifting the whole UK region to 21.8% growth — and it is anchored in structural NHS modernisation spending rather than a one-off contract. The 12-month order backlog of $310 million, growing 13.3% in dollars and 25% in rupees, is a concrete forward indicator that most companies this size do not disclose at all. AI-assisted delivery is producing genuine deal flow, 85+ closed in FY26 and 40+ new opportunities in a single quarter. The balance sheet is net cash and improving, and at 12.3 times earnings the market is asking very little of it. But the trigger cannot be called durable until it does the one thing it exists to do. For three consecutive years the backlog has grown two to three times faster than revenue, and over exactly that period revenue growth fell from 19% to 13% to 7%, dollar revenue grew 3.1% in FY26, and operating margin slid from 18% to 15.4%. Q1 FY27 — the quarter that was supposed to begin the acceleration — delivered 1.2% sequential dollar growth and a 70-basis-point margin decline. Either the conversion arrives in H2 FY27 as management expects, in which case this is a cheap stock with a Yes trigger, or the backlog is being filled with longer, cheaper, slower work, in which case the deceleration is the real signal. On the evidence available today, it is genuinely undecided.

Management consistent? → MAYBE

Mastek's management deserves real credit for how it communicates. It discloses a hard backlog number every quarter instead of hiding behind pipeline talk, it explained a 4.8% constant-currency revenue decline in Q3 FY26 without spin, and in the latest call it interrupted itself to make sure nobody mistook a ₹91 cr transfer-pricing *income* addition for a ₹91 cr tax demand — volunteering that the real exposure was around ₹31 cr. It also delivered the single thing it promised most loudly: UK healthcare, which grew more than 100% and then ~95%. Against that, three commitments have repeated without resolution. The 16.5–17% margin sought back in FY25 has never been reached and the latest quarter moved further away at 15.4%. The US recovery has been expected for roughly eight quarters and the ramp is now pushed to H2 FY27. And the backlog-to-revenue conversion that headlines every call has widened into a gap rather than closing. None of these is a story change — the strategy has been stable throughout — but a management team is graded on whether the things it keeps saying come true, and here the encouraging number and the actual number have been diverging for two years. Both the chief executive and the chief financial officer changed during the period, which makes the older promises harder to attribute but does not remove them from the record. Candid, stable, and so far unfulfilled on its central claim: that is a Maybe.

Prepared from eleven Mastek Ltd earnings-call transcripts, Q1 FY25 (18 Jul 2024) through Q1 FY27 (22 Jul 2026), sourced from Screener.in; the Q4 FY26 (April 2026) quarter is web-filled from the company's own results press release and published coverage because no transcript is available on Screener. **All financial figures are consolidated**, from Screener.in consolidated statements and management disclosures on the calls. **This is not investment advice. Do your own due diligence.**